

The Board of Directors is pleased to announce the Un-audited results of the Group and the Bank for the Period ended 30 June 2022

I STATEMENT OF FINANCIAL POSITION

	GROUP				KINGDOM BANK				CO-OP BANK			
	30-Jun-22 KSHS.'000 (Un-audited)	31-Mar-22 KSHS.'000 (Un-audited)	31-Dec-21 KSHS.'000 Audited	30-Jun-21 KSHS.'000 (Un-audited)	30-Jun-22 KSHS.'000 (Un-audited)	31-Mar-22 KSHS.'000 (Un-audited)	31-Dec-21 KSHS.'000 Audited	30-Jun-21 KSHS.'000 (Un-audited)	30-Jun-22 KSHS.'000 (Un-audited)	31-Mar-22 KSHS.'000 (Un-audited)	31-Dec-21 KSHS.'000 Audited	30-Jun-21 KSHS.'000 (Un-audited)
A ASSETS												
1 Cash (local and foreign)	9,771,227	10,456,019	9,043,810	9,558,489	422,534	340,423	320,089	284,742	6,636,371	6,896,706	8,120,024	6,263,972
2 Balances due from Central Bank Of Kenya	17,285,768	17,147,200	21,784,667	27,886,886	267,324	220,353	329,114	345,984	17,018,444	16,926,847	19,391,126	27,540,902
3 Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-	-	-	-	-
4 Financial Assets at Fair Value through profit and loss(FVTPL)	-	-	-	-	-	-	-	-	-	-	-	-
5.a.a Investment Securities: Held at Amortised Cost- Kenya Government Securities	82,852,972	75,778,680	76,223,893	82,620,456	3,899,288	885,746	294,557	699,222	78,953,684	74,892,934	75,929,336	81,921,234
a.b Investment Securities: Held at Amortised Cost- Other Securities	-	-	-	-	-	-	-	-	-	-	-	-
b.a Investment Securities: Fair Value through other comprehensive income (FVOCI) Kenya Government Securities	100,343,765	107,583,867	107,837,175	99,332,570	19,542,318	23,510,426	23,356,065	22,865,026	80,801,447	84,073,442	84,481,110	76,450,264
b.b Investment Securities: Fair Value through other comprehensive income (FVOCI) Other Securities	1,733,472	1,675,148	1,701,775	1,423,425	-	-	-	-	1,716,672	1,657,868	1,614,880	1,423,425
6 Deposits and balances due from local banking institutions	9,618,217	11,295,133	1,901,445	6,167,451	409,219	15,765	248,804	32,173	7,500,016	9,664,958	288,848	5,236,187
7 Deposits and balances due from banking institutions abroad	5,535,178	2,804,249	6,634,528	6,819,439	23,446	71,410	69,712	51,503	5,818,893	3,348,780	6,681,238	7,359,655
8 Tax recoverable	373,053	32,274	-	339,800	109	109	109	109	341,192	-	-	342,586
9 Loans and advances to customers (net)	330,056,251	324,483,412	310,195,297	301,191,046	4,706,082	4,645,126	4,432,541	4,912,767	323,940,589	318,646,679	304,584,437	295,359,344
10 Balances due from banking institutions in the group	-	-	-	-	-	-	-	-	-	-	-	-
11 Investments in associates	2,209,094	2,298,381	2,146,675	1,760,538	13,215	13,215	13,215	16,087	706,444	706,444	706,444	706,444
12 Investments in subsidiary companies	-	-	-	-	6,039	6,139	1,139	1,139	3,884,925	3,884,925	3,884,925	3,850,998
13 Investment in joint ventures	-	-	-	-	-	-	-	-	-	-	-	-
14 Investment in properties	-	-	-	-	-	-	-	-	-	-	-	-
15 Property, plant and equipment	8,301,176	8,573,681	10,288,503	9,575,904	958,740	965,850	978,750	1,019,356	7,070,274	7,285,851	8,506,362	8,142,246
16 Prepaid lease rentals	32,998	33,150	33,303	33,608	-	-	-	-	32,998	33,150	33,303	33,608
17 Intangible assets	7,324,097	6,822,712	5,828,335	6,813,477	46,375	37,440	29,965	29,908	3,940,532	3,438,050	2,442,970	3,448,832
18 Deferred tax asset	6,051,928	5,746,502	5,360,047	4,328,844	225,507	225,507	225,506	297,764	5,685,894	5,384,158	5,080,346	3,967,023
19 Retirement benefit asset	-	-	-	-	-	-	-	-	-	-	-	-
20 Other assets	22,432,592	22,255,177	20,792,531	15,156,686	1,490,414	1,072,324	1,391,102	1,493,704	19,458,845	20,588,409	18,641,390	13,272,831
21 TOTAL ASSETS	603,921,788	596,985,586	579,771,985	573,008,622	32,010,609	32,009,833	31,690,666	32,049,485	563,507,219	557,429,201	540,386,740	535,319,552
B LIABILITIES												
22 Balances due to Central Bank Of Kenya	-	-	-	-	1,678,884	1,685,565	1,734,856	1,980,377	-	-	-	-
23 Customer deposits	423,031,281	410,825,409	407,725,765	407,686,001	7,504,009	6,897,305	6,380,193	5,241,603	412,785,740	400,861,722	398,686,293	399,538,831
24 Deposits and balances due to local banking institutions	6,899,114	5,729,920	792,102	4,019,222	-	-	-	-	6,899,114	5,729,920	754,572	4,019,222
25 Deposits and balances due to banking institutions abroad	3,987,489	631,158	-	240,694	-	-	-	-	4,058,805	1,017,195	-	832,413
26 Other money market deposits	-	-	-	-	-	-	-	-	-	-	-	-
27 Borrowed funds	41,357,102	43,279,164	42,914,622	44,428,465	21,160,566	21,102,121	21,213,996	20,983,452	18,680,294	20,662,410	20,144,729	21,547,346
28 Balances due to banking institutions in the group	-	-	-	-	-	-	-	-	-	-	-	-
29 Tax payable	29,796	3,056,176	903,763	-	-	-	-	-	-	2,886,376	907,798	-
30 Dividends payable	-	-	-	-	-	-	-	-	-	-	-	-
31 Deferred tax liability	5,205	5,205	-	43,513	-	-	-	-	-	-	-	-
32 Retirement benefit liability	-	-	-	-	-	-	-	-	-	-	-	-
33 Other liabilities	31,624,179	30,361,262	26,689,802	23,991,441	349,337	842,442	477,529	1,301,515	29,695,306	28,913,131	24,973,828	21,940,894
34 TOTAL LIABILITIES	506,934,166	493,888,294	479,026,054	480,409,335	30,692,795	30,527,433	29,806,575	29,506,946	472,119,259	460,070,734	445,467,220	447,878,706
C SHAREHOLDERS' FUNDS												
35 Paid up/Assigned capital	5,867,180	5,867,180	5,867,180	5,867,180	1,867,947	1,867,947	1,867,947	1,867,947	5,867,180	5,867,180	5,867,180	5,867,180
36 Share premium/(discount)	1,911,925	1,911,925	1,911,925	1,911,925	3,087,449	3,087,449	3,087,449	3,087,449	1,911,925	1,911,925	1,911,925	1,911,925
37 Revaluation reserve	1,360,457	1,360,457	1,401,443	1,280,602	-	-	-	-	1,281,592	1,281,592	1,281,592	1,316,635
38 Retained earnings/ Accumulated losses	95,529,427	90,074,475	84,225,180	81,717,014	(3,366,150)	(3,572,744)	(3,772,019)	(2,527,755)	89,809,333	84,683,804	79,383,183	76,582,481
39 Statutory Loan Loss Reserve	363,528	640,521	624,079	4,461	386,296	692,878	690,045	-	-	-	-	-
40 Other Reserves	(8,703,461)	(3,426,006)	(81,009)	1,422,205	(657,728)	(593,130)	10,669	114,897	(7,879,295)	(2,655,079)	201,997	1,346,923
41 Proposed dividends	-	5,867,180	5,867,180	-	-	-	-	-	-	5,867,180	5,867,180	-
42 Capital grants	397,225	401,844	406,463	415,701	-	-	-	-	397,225	401,844	406,463	415,701
43 TOTAL SHAREHOLDERS' FUNDS	96,726,281	102,697,576	100,222,441	92,619,088	1,317,814	1,482,400	1,884,091	2,542,539	91,387,961	97,358,417	94,919,220	87,440,846
43.1 Non-Controlling Interest	261,343	399,718	523,490	(19,800)	-	-	-	-	-	-	-	-
44 TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	603,921,788	596,985,586	579,771,985	573,008,622	32,010,609	32,009,833	31,690,666	32,049,485	563,507,219	557,429,201	540,386,740	535,319,552
II STATEMENT OF COMPREHENSIVE INCOME												
	30-Jun-22 KSHS.'000 (Un-audited)	31-Mar-22 KSHS.'000 (Un-audited)	31-Dec-21 KSHS.'000 Audited	30-Jun-21 KSHS.'000 (Un-audited)	30-Jun-22 KSHS.'000 (Un-audited)	31-Mar-22 KSHS.'000 (Un-audited)	31-Dec-21 KSHS.'000 Audited	30-Jun-21 KSHS.'000 (Un-audited)	30-Jun-22 KSHS.'000 (Un-audited)	31-Mar-22 KSHS.'000 (Un-audited)	31-Dec-21 KSHS.'000 Audited	30-Jun-21 KSHS.'000 (Un-audited)
1.0 INTEREST INCOME												
1.1 Loans and advances	18,508,399	8,976,011	36,508,393	16,917,870	150,060	67,228	507,488	406,699	18,233,525	8,835,959	35,861,391	16,465,915
1.2 Government securities	9,877,949	4,942,575	18,728,870	8,825,600	1,376,091	686,564	2,630,661	1,271,685	8,501,558	4,256,010	16,098,210	7,553,915
1.3 Deposits and placements with banking Institutions	187,838	82,641	410,882	181,661	2,480	1,735	20,104	11,563	112,046	47,373	284,986	132,065
1.4 Other Interest Income	-	-	-	34,806	-	-	-	-	-	-	-	-
1.5 Total Interest Income	28,574,186	14,001,227	55,648,145	25,959,937	1,528,631	755,528	3,158,253	1,689,947	26,847,429	13,139,343	52,244,587	24,151,895
2.0 INTEREST EXPENSE												
2.1 Customer deposits	6,776,844	3,275,431	13,330,376	6,397,074	229,058	111,762	400,584	194,191	6,545,746	3,162,463	12,923,127	6,202,507
2.2 Deposits and placements from banking institutions	53,239	5,894	189,705	23,999	1,494	183	716	644	33,745	5,711	188,990	23,355
2.3 Other Interest Expenses	706,790	347,266	1,091,150	707,168	12,391	6,522	39,024	7,557	694,399	340,744	1,040,747	696,505
2.4 Total Interest Expenses	7,518,872	3,628,590	14,611,231	7,128,241	242,943	118,467	440,324	202,392	7,273,890	3,508,918	14,152,864	6,922,367
3 NET INTEREST INCOME/(LOSS)	21,055,313	10,372,637	41,036,913	18,831,696	1,285,688	637,061	2,717,929	1,487,555	19,573,539	9,630,425	38,091,723	17,229,528
4 NON- INTEREST INCOME												
4.1 Fees and commissions on loans and advances	5,515,036	2,589,534	5,421,033	2,708,008	24,304	10,312	18,635	5,670	5,490,732	2,579,222	5,055,563	2,702,338
4.2 Other Fees and commissions	5,388,048	2,777,342	9,812,650	5,262,734	51,438	25,759	95,298	44,760	4,147,024	2,139,038	8,396,993	4,346,052
4.3 Foreign exchange trading income/(loss)	1,960,998	766,774	2,849,297	1,324,426	17,076	6,719	5,544	3,455	1,858,717	746,970	2,703,646	1,302,036
4.4 Dividend income	2,993	1,496	1,444	108	-	-	-	-	-	-	847	108
4.5 Other income	431,814	273,337	1,311,929	1,028,316	4,122	1,280	(30,473)	288,119	346,611	224,265	1,163,512	671,004
4.6 Total Non-interest income	13,298,888	6,408,483	19,396,354	10,323,593	96,940	44,070	89,004	342,004	11,843,084	5,689,494	17,320,561	9,021,539
5.0 TOTAL OPERATING INCOME	34,354,201	16,781,120	60,433,268	29,155,289	1,382,628	681,131	2,806,933	1,829,559	31,416,623	15,319,919	55,412,284	26,251,068
6.0 OTHER OPERATING EXPENSES												
6.1 Loan loss provision	3,344,847	1,543,877	7,929,256	4,158,258	(170,803)	24,884	168,053	391,675	3,494,900	1,499,967	7,499,998	3,750,000
6.2 Staff costs	7,068,086	3,510,928	13,322,738	6,506,281	298,513	169,316	303,107	199,434	6,431,823	3,168,404	12,435,592	6,062,822
6.3 Directors' emoluments	122,766	21,749	199,329	94,122	4,504	2,141	7,539	1,689	93,391	7,665	144,027	71,360
6.4 Rentals charges	474,304	249,848	1,009,559	456,917	17,548	8,596	35,471	17,112	402,475			

The Board of Directors is pleased to announce the Un-audited results of the Group and the Bank for the Period ended 30 June 2022

III OTHER DISCLOSURES

	GROUP				KINGDOM BANK				CO-OP BANK			
	30-Jun-22 KSHS.'000 (Un-audited)	31-Mar-22 KSHS.'000 (Un-audited)	31-Dec-21 KSHS.'000 Audited	30-Jun-21 KSHS.'000 (Un-audited)	30-Jun-22 KSHS.'000 (Un-audited)	31-Mar-22 KSHS.'000 (Un-audited)	31-Dec-21 KSHS.'000 Audited	30-Jun-21 KSHS.'000 (Un-audited)	30-Jun-22 KSHS.'000 (Un-audited)	31-Mar-22 KSHS.'000 (Un-audited)	31-Dec-21 KSHS.'000 Audited	30-Jun-21 KSHS.'000 (Un-audited)
1 NON PERFORMING LOANS AND ADVANCES												
a) Gross non-performing loans and advances	51,187,398	49,461,265	49,730,992	50,845,898	5,999,575	6,348,369	6,014,872	6,661,988	44,728,729	42,696,318	43,311,818	43,794,390
Less	-	-	-	-	-	-	-	-	-	-	-	-
b) Interest in suspense	5,970,437	6,228,365	6,338,967	6,806,250	1,623,284	1,734,906	1,695,674	1,618,971	4,298,661	4,441,734	4,587,040	5,128,324
c) Total Non-performing loans and advances (a-b)	45,216,961	43,232,900	43,392,025	44,039,648	4,376,291	4,613,463	4,319,198	5,043,017	40,430,068	38,254,584	38,724,778	38,666,066
Less	-	-	-	-	-	-	-	-	-	-	-	-
d) Loan loss provisions	27,728,518	26,074,145	24,791,016	25,478,371	2,536,024	2,661,456	2,675,806	4,345,229	25,012,116	23,241,536	21,940,149	21,020,843
e) Net Non performing loans (c-d)	17,488,443	17,158,754	18,601,009	18,561,277	1,840,267	1,952,007	1,643,392	697,788	15,417,952	15,013,048	16,784,629	17,645,223
f) Discounted Value of Securities	19,993,107	17,328,761	18,224,344	17,437,044	1,858,252	1,966,844	1,483,202	697,785	17,604,316	14,886,852	16,236,700	16,573,635
g) Net NPLs Exposure (e-f)	(2,504,664)	(170,007)	376,665	1,124,233	(17,985)	(14,837)	160,190	3	(2,186,364)	126,196	547,929	1,071,588
2 Insider loans and advances												
a) Directors, shareholders and associates	6,182,752	7,039,610	7,710,169	6,027,770	-	-	-	-	6,182,752	7,039,610	7,710,169	6,027,770
b) Employees	11,710,633	11,761,067	11,827,617	11,351,629	118,833	103,101	92,192	91,976	11,586,890	11,655,929	11,735,425	11,259,653
c) Total insider loans, advances and other facilities	17,893,385	18,800,677	19,537,786	17,379,399	118,833	103,101	92,192	91,976	17,769,642	18,695,540	19,445,594	17,287,423
3 Off-Balance Sheet Items												
a) Letters of credit, guarantees, acceptances	46,512,251	46,517,271	47,661,057	36,660,396	420,594	621,172	561,266	798,997	46,062,868	45,857,103	47,099,791	35,861,398
b) Forwards, swaps and options	9,325,790	6,955,409	9,921,834	9,236,750	1,203,800	1,203,500	343,950	343,950	8,121,990	5,751,909	8,718,334	8,892,800
c) Other contingent liabilities	-	-	-	-	-	-	-	-	-	-	-	-
d) Total contingent liabilities	55,838,041	53,472,679	57,582,891	45,897,145	1,624,394	1,824,672	1,764,766	1,142,947	54,184,858	51,609,012	55,818,125	44,754,198
4 Capital strength												
a) Core capital	85,681,920	82,638,315	80,111,777	74,995,188	1,164,147	1,153,518	1,051,430	1,635,574	83,441,769	81,185,361	78,843,481	73,709,045
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c) Excess/(deficiency)	84,681,920	81,638,315	79,111,777	73,995,188	164,147	153,518	51,430	635,574	82,441,769	80,185,361	77,843,481	72,709,045
d) Supplementary capital	6,536,562	6,806,125	7,828,878	8,417,909	386,296	692,878	690,045	-	6,506,599	6,786,409	7,108,870	8,417,909
e) Total capital	92,218,482	89,444,440	87,940,654	83,413,096	1,550,444	1,846,396	1,741,475	1,635,574	89,948,368	87,971,770	85,952,351	82,126,954
f) Total risk weighted assets	554,125,063	539,824,209	512,136,254	490,223,691	8,461,278	8,019,407	7,058,339	7,509,294	542,020,289	527,395,840	502,186,291	477,617,527
g) Core capital/total deposit liabilities	19.7%	19.8%	19.6%	18.2%	15.5%	16.8%	16.5%	16.5%	19.7%	19.9%	19.7%	18.2%
h) Minimum Statutory Ratio	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
i) Excess/(deficiency)	11.7%	11.8%	11.6%	10.2%	7.5%	8.8%	8.5%	23.2%	11.7%	11.9%	11.7%	10.2%
j) Core capital/total risk weighted assets	15.5%	15.3%	15.6%	15.3%	13.8%	14.4%	14.9%	21.8%	15.4%	15.4%	15.7%	15.4%
k) Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%
l) Excess/(deficiency)(j-k)	5.0%	4.8%	5.1%	4.8%	3.3%	3.9%	4.4%	11.3%	4.9%	4.9%	5.2%	4.9%
m) Total capital/total risk weighted assets	16.6%	16.6%	17.2%	17.0%	18.3%	23.0%	24.7%	21.8%	16.6%	16.7%	17.1%	17.2%
n) Minimum Statutory Ratio	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%
o) Excess/(deficiency)(m-n)	2.1%	2.1%	2.7%	2.5%	3.8%	8.5%	10.2%	7.3%	2.1%	2.2%	2.6%	2.7%
p) Adjusted Core Capital/Total Deposit Liabilities	15.6%	16.0%	16.0%	15.6%	15.5%	16.8%	16.5%	0.0%	15.5%	16.0%	16.1%	15.6%
q) Adjusted Core Capital/Total Risk Weighted Assets	12.2%	12.3%	12.8%	13.1%	13.8%	13.2%	14.9%	21.8%	12.1%	12.3%	12.8%	13.2%
r) Adjusted Total Capital/Total Risk Weighted Assets	13.4%	13.6%	14.3%	14.8%	18.3%	21.2%	24.7%	0.0%	13.3%	13.6%	14.2%	14.9%
5 Liquidity												
a) Liquidity Ratio	50.8%	54.1%	53.8%	55.7%	305.0%	338.7%	358.8%	425.3%	43.8%	46.4%	47.6%	48.6%
b) Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
c) Excess/ (deficiency)(a-b)	30.8%	34.1%	33.8%	35.7%	285.0%	318.7%	338.8%	405.3%	23.8%	26.4%	27.6%	28.6%

*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK guidance note issued in April 2018 on implementation of IFRS9.

SUMMARY STATEMENT OF CHANGES IN EQUITY

	Share Capital KSHs'000	Share Premium KSHs'000	Revenue and Other Reserves KSHs'000	Proposed Dividends KSHs'000	Attributable to equity holder of the company KSHs'000	Non-controlling interest KSHs'000	Total equity KSHs'000
Balance at 1 January 2022	5,867,180	1,911,926	86,169,694	5,867,180	99,815,980	523,490	100,339,470
Total comprehensive income	-	-	11,395,926	-	11,395,926	72,279	11,468,205
Profit for the year	-	-	(9,015,670)	-	(9,015,670)	(334,427)	(9,350,097)
Net Movement in Reserves	-	-	-	(5,867,180)	(5,867,180)	-	(5,867,180)
2021- Dividends paid	-	-	-	-	-	-	-
Balance at 30 June 2022	5,867,180	1,911,926	88,549,950	-	96,329,057	261,343	96,590,399

SUMMARY STATEMENT OF CASHFLOWS

	Un-audited 30-Jun-22 KSHs'000	Audited 31-Dec-21 KSHs'000	Un-audited 30-Jun-21 KSHs'000
Net cash flows from operating activities	17,727,420	5,876,903	16,341,358
Net cash flows used in investing activities	(6,433,004)	(1,169,505)	(640,956)
Net cash flows from financing activities	(8,786,208)	(9,639,610)	(8,043,626)
Net (decrease)/increase in cash and cash equivalents	2,508,208	(4,932,212)	7,656,777
Cash and cash equivalents at 1 January	17,101,299	22,033,511	22,033,511
Cash and cash equivalents at period end	19,609,507	17,101,299	29,690,288

KEY HIGHLIGHTS:

Profit Before Tax

Kshs. 15.3B
(45% growth)

Total Assets

Kshs. 604B

Net loans and advances

Kshs. 330B

Customer deposits

Kshs 423B

The financial statements were approved by the Directors on 24th August 2022 and signed on its behalf by:

Signed: Mr. John Murugu, OGW
Chairman

Signed: Dr. Gideon Muriuki - CBS, MBS
Group Managing Director & CEO



CO-OPERATIVE BANK
We are you

The Co-operative Bank is regulated by the Central Bank of Kenya